

Module 4

Business Management

Answers

The suggested answers are longer than what candidates are expected to give in the examination. The purpose of the suggested answers is meant to help candidates in their revision and learning. The suggested answers may not contain all the correct points and candidates should note that credit will be awarded for valid answers which may not fully covered in the suggested answers.

SECTION B – WRITTEN QUESTIONS (Total: 80 marks)

Answer 1(a)

The decisions Roger has to make include:

1. Investing decisions
These are the decisions that Roger has to help the trading company make when there is excess cash.

Roger can identify some marketable securities, which refer to low-risk securities that either have short maturities or can be easily sold in secondary markets.

Roger can also help the company invest in long-lived assets, such as buildings, vehicles, which are expected to produce economic benefits for more than one year.
2. Financing decisions
These decisions include the mix of the trading company's debt and equity capital, which is known as capital structure.

Debt capital consists of funds obtained through borrowing.

Equity capital consists of funds sourced from a company's owner.
3. Dividend decisions
A cash dividend is a cash payment made to shareholders on a periodic basis.

Dividend can be paid quarterly, twice yearly, or annually, etc. It can also be paid as a special dividend.
Dividends are paid out of earnings that a firm chooses not to reinvest.
4. Asset management decisions
Assets consist of what the trading company owns. The assets of the trading company include land and buildings, equipment, inventories, cash in hand, etc.

Asset management refers to the process of taking advantage of the trading company's assets to maximise shareholders' wealth and offer the best possible returns to shareholders of the trading company.

Answer 1(b)

Two short-term finances that the trading company can look for are below:

1. Trade credit
Trade credit is a credit offered by suppliers to the trading company. Goods or services are delivered to the trading company and the supplier agrees to accept payment at a later date.

Many suppliers do not charge a fee for trade credit; instead, they even offer discounts for payments made in cash before the agreed-upon date.
2. Short-term loans
The trading company can obtain the loans from commercial banks. Often businesses whose sales fluctuate on a seasonal basis use these loans to finance inventory and trade receivables.

There are two types of short-term bank loans: line of credit and revolving credit agreements.

Answer 2(a)

The type of the organization SC belongs to and mission are as follows:

SC belongs to not-for-profit organizations, or non-profit organization.

The mission of SC is to protect children in need. It is for humanitarian reasons.

Answer 2(b)

SC can obtain the funding through the following ways:

1. Private sources
SC can obtain funding from individual donations or raising fund from donors.
2. Government sources
SC can apply for any subsidy or support scheme from the government to obtain the funding.

Answer 2(c)

The characteristics of effective control systems of SC include the following:

1. **Timely**
Control systems should provide information in a timely manner so that managers are alerted to potential problems in time.

SC rely on the timely information to make future decisions. For example, the balance of the money cash flow position, manpower for any charitable events, etc.
2. **Understandable**
Control systems must be easy to understand for users; otherwise, they may feel frustrated and ignore the control systems.

SC can rely on the easy control systems to increase the efficiency and thus, reduce the cost.
3. **Reasonable**
Control systems must have reasonable and achievable criteria; otherwise, employees may not take the criteria seriously and instead find shortcuts to create the appearance that standards are being met.

Control systems in SC should be reasonable and achievable as well so the employees are willing to use the control systems.
4. **Strategically placed**
The controls measures should be implemented in critical performance areas that are key to the organization's success.

SC should make sure the control systems are implemented in the areas related to funding or manpower.
5. **Emphasis on exceptions**
This refers to concentrating on exceptional variances only.

Control systems in SC should also focus on some exceptional variances so that their attention does not need to be wasted in the routine duties.
6. **Have multiple criteria**
Multiple criteria in control measures prevent bias and decision-making with insufficient information.

Control systems in SC should also have multiple criteria so that their decision making should be always accurate in terms of using the fund or providing certain services to the children.

7. Have corrective ability
Corrective suggestions should be highlighted through control systems. After identifying variations, corrective actions must be taken to fix the errors and ensure that activities are back on track.

Control systems in SC should also be able to correct the variations so that their daily activities, or any wrong decision can be corrected.

Answer 3(a)

Types of interviews that IP can adopt are illustrated below:

1. Behavioural interviews
Ask job candidates about past work performance, focusing questions on specific behaviours related to job performance.

For example: Describe how you have resolved a conflict with a co-worker or teammate.

2. Situational interviews
Ask applicants how they would react when confronted with specific work situations they would be likely to experience on the job.

For example: How would you as team leader handle two team members who do not get along with one another?

Any valid examples are acceptable.

Answer 3(b)

Other monetary rewards that IP can use are as below:

1. Merit pay
Salary increases to IP staff will be based at least in part on some assessment of their performance
2. Bonus pay
IP provides one-time or lump-sum payments to employees who meet specific performance targets or make some other extraordinary contribution, such as an idea for a work improvement.
3. Profit-sharing
IP gives employees a proportion of the net profits earned by IP during a performance period.
4. Gain-sharing
IP permits groups of employees to share in any savings realised when their efforts or ideas result in measurable gains, either from cost reductions or productivity increases.

Answer 4

The new product development process of FG is as below:

1. Idea generation and screening
This is the starting point for new products. Ideas come from many sources, including customer suggestions, suppliers, employees, research scientists, marketing research, inventors outside the firm and competitive products.

FG can obtain ideas from the customers and conduct some marketing research to understand the unmet needs of the customers. These can help to generate many new ideas for FG to consider putting into new products.
2. Feasibility study
This is an assessment of the practicality of a proposed plan or method which looks at the three major areas of market issues: organizational, technical and financial issues.

FG should conduct feasibility study to evaluate if the new ideas can meet the three issues, especially if there is market demand, cost-benefits analysis, and available expertise and resources to develop the new products in FG.
3. Prototype development
It is the creation of an actual product and subjected to rigorous tests and rounds of revision.

FG should develop an actual product and check if there is any need to fine-tune the new products.
4. Test marketing
New products are introduced and supported by a complete marketing campaign to a selected city or geographic area.

The new products produced by FG will be tested in a smaller area to see if the customers like them. Moreover, they can conduct some focus group interviews, consumer surveys, and participate in some trade show exhibits to learn more about the opinions.
5. Commercialization
The product is made available in the marketplace. A lot of planning goes into this stage, which requires coordination of distribution, promotion, and pricing strategies.

FG will start to launch the new products to the mass market, and work with other departments to promote and sell the new products to the customers.

Answer 5(a)

Funny would choose the following ways to enter the Country A:

1. **Licensing**
Licensing refers to the foreign firms pay a fee for rights to make or sell Funny's products in the Country A market. Thus, this licence will grant access by the foreign firm to a unique manufacturing technology, special patent, or trademark.
2. **Contract manufacturing**
It is also known as subcontracting, which involves hiring local companies to produce, distribute or sell goods or services. The subcontractor should have expertise in the Country A's culture, contacts, and regulations, and subcontracting allows Funny to tap into this knowledge.
3. **Strategic alliance**
Funny and the Country A's partners cooperate for mutual gains. In this arrangement, the Country A's partners gain access to technology and opportunities to learn new skills. At the same time, Funny can gain access to the Country A markets and customers and the expert assistance of locals who understand them.
4. **Joint venture**
Two or more firms arrange to share resources to operate a new business together. Thus, Funny can cooperate with the local Country A companies to become a joint venture. They also agree to share any risks posed by the new business. Funny can do so by either purchasing an ownership stake in a local firm or unite with the local firm to form a new business.

Other valid answers are acceptable.

Answer 5(b)

The issues faced by Funny are explained below:

1. **Regulatory requirements**
The laws may be different from the local city and Country A, thus, Funny was not aware of all those laws and regulation required by Country A.

The common regulatory problem faced by Funny was about the requirements set by the local government about the product package.

2. **Language**
Funny was not aware of the language used in Country A. Company representatives of Funny should be sure that they understand the local language in Country A, but when dealing with the local distributors, they have to use the local language.

Moreover, there is no translation of the product instructions in the product and thus, the local customers may not understand how to play with the toys.

3. Political environment

Legal and political differences between countries can pose barriers to international trade. The concern faced by Funny is protectionism.

Protectionism refers to the attempt by the local government to protect local firms from foreign competition. Funny should try to lobby and negotiate with the local government to find the solutions.

Answer 5(c)

The marketing mix of Funny is as below:

1. Product

Funny should decide what products to provide to the customers. When designing the product strategy, Funny must consider the needed attributes, package design, brand names, trademarks, warranties, product image and customer service.

Funny can think about its product line in serving the customers in Country A. For example, the products can be a group of similar products to develop the children's intelligence.

Funny can also create a good branding to differentiate their products from other local competitors. They can use slogan, logo, or some distinct design.

2. Price

The price of a product is the amount of money a customer must pay in exchange for it. Funny must find a balance between what is a justifiable and reasonable price to customers and what is profitable to the business.

Funny can determine different types of pricing strategies to adopt. To do so, Funny can try to adopt product line pricing when it has launched a group of similar products in the market.

Or if Funny wants to penetrate in the market, penetration pricing can be adopted by setting a low launch price to maximise sales volume and increase the market share of a new product.

3. Place

This element ensures that customers receive their purchases in convenient locations and at the right time. Funny also needs to ensure that the right amount of stock is available at the right location.

Funny can choose to use catalogues to put all their product pictures on it and distribute to the local customers.

Moreover, a physical shop and website should be set up to enhance the accessibility of their products to the customers.

4. Promotion

It combines advertising, personal selling, sales promotion, and public relations to inform, persuade and influence consumers to buy a product.

Funny could use advertising, by putting their products and brand names on print ad, magazine ad, TV ad, outdoor advertising, etc. to communicate with the local customers.

Funny can also use sales promotion to encourage the local customers to try and purchase. For example, using discounts, premiums, games, or lucky draws.

Other valid examples are acceptable.

Answer 6(a)

The definition of a service package is as below:

A service package is created from the service concept that a company develops to meet customer needs.

A service package includes the psychological, physical and sensual benefits that a product can offer.

Answer 6(b)

Service elements that EP should pay attention to are presented below:

1. Service time

It refers to the time that a company takes to serve a customer.

EP should pay attention to the time it takes to serve the hotel guests during check in/ out process.

For example, when there is a long queue waiting, EP may consider asking the hotel guests to have a seat in the lobby instead of standing long time. EP can also consider using electronic check in/out system to reduce the waiting time.

2. Error/ defects control

The service providers should always anticipate problems, imagine what could go wrong and develop strategies for reducing the frequency and impact of service failures.

EP should always anticipate if there is system failure during check in/out procedures, wrong room services or delayed services to the guests. This can help to avoid any service failures happened in EP.

For example, EP can consider using technology to process the check in/out, or using robots to deliver the room services to the hotel guests, etc.

3. Service as a strategic goal

This is to ensure the tight integration of operation and marketing. By treating service as a strategic goal, a company can ensure that both functions are in sync so that the company's delivery capabilities match the expectations created through marketing.

EP should always monitor its operation to see if they can perform what the marketing promotes. As the vision is to deliver exceptional services and treat the guests like family members, the operation of EP should be in sync and consistent.

For example, EP should always invite mystery customers to observe the hotel services or provide regular trainings to the hotel staff. Moreover, marketing should also be always monitored and revised in response to different operational level.

4. Feedback

Soliciting feedback from the customers about their service experiences is important, especially immediately after an interaction or a transaction.

EP needs to solicit feedback from their hotel guests to measure their service quality right after the service interaction.

For example, simple survey forms are placed in the hotel rooms, on the dining tables. Hotel staff can also ask the guests who are sitting in the lobby for some simple customer feedback surveys.

Other valid examples are acceptable.

Answer 6(c)

The definition of SWOT analysis is as below:

A SWOT analysis is an evaluation method used to assess a business venture's strengths and weaknesses.

And to identify the opportunities and threats open to the business.

Answer 6(d)

The SWOT for EP is presented below:

1. Strengths (S)
The strengths of EP are
 - Long establishment
 - Strong financial position
 - Many awards received
 - Positive comments from the guests
2. Weaknesses (W)
The weaknesses of EP are
 - High staff turnover rate affects the consistency of the service quality
 - Recent change of the management level affects the stability and policies of the hotel
3. Opportunities (O)
The opportunities of EP are
 - Increase demand of staycation
 - Local citizens would like to stay in the hotels to celebrate some special days
4. Threats (T)
 - Global pandemic which affects the demand of overseas travellers
 - Countries' lockdown policies

Other valid points are acceptable.

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